

Marisol & Theo Varga

Married filing jointly · Sacramento, California · two children

Forms involved: 1040, Schedule C, Schedule SE, Schedule E, Form 2441, CP2000 response (TY 2023)

Client profile

Taxpayers	Marisol Varga (SSN ending 4417), clinical lab supervisor, age 41 Theo Varga (SSN ending 2291), self-employed furniture maker, age 43
Filing status	Married filing jointly, all year
Dependents	Ines Varga, age 9 (SSN ending 7710), lived in home 12 months Pablo Varga, age 6 (SSN ending 7733), lived in home 12 months
Address	1418 Alder St, Unit B, Sacramento CA 95818 until May 30; 2207 Juniper Way, Sacramento CA 95822 from May 31
Life events	Bought a duplex (June), Theo started selling wholesale
Prior year	Filed jointly for 2024, refund \$1,140. Received CP2000 for 2023; no balance has been assessed yet.
Divorce	Neither spouse has been separated or divorced.

Wages and withholding

Employer	Item	Amount
Kaiser Permanente (W-2)	Box 1 wages	\$96,480
	Box 2 federal withheld	\$9,850
	Box 12 code D (401(k))	\$8,400
	Box 12 code DD (health)	\$14,220
	Box 10 dependent care	\$2,500
	Box 17 CA withheld	\$4,310

Theo’s furniture business (Schedule C)

Business name Varga Woodworks, sole proprietor, cash method, principal business code 337000. Books kept in a spreadsheet; Etsy and Square deposits go to one business checking account.

Source	Detail	Amount
Etsy 1099-K	Gross (includes \$2,114 sales tax Etsy collected)	\$43,112
Square 1099-K	Craft fair card sales	\$9,540
Cash sales	Per ledger	\$1,260
Wholesale	Two shops, paid by check	\$6,800
Returns and refunds	Etsy refunds	\$(1,380)
Materials and hardware	Lumber, finishes, hardware	\$14,930
Etsy and Square fees	Per platform statements	\$4,470
Booth fees	Seven fairs	\$1,925
Tools bought	Bandsaw 3/12/2025, dust collector 8/4/2025	\$4,180
Vehicle	2019 Ford Transit: 6,240 business mi of 14,900 total	log kept

Source	Detail	Amount
Home workshop	Garage, 420 sq ft of a 1,850 sq ft home, exclusive use	simplified method

Rental: duplex, Unit A (Schedule E)

Item	Detail	Amount
Purchase	Closed 6/12/2025, price \$612,000, land allocation 30%	\$612,000
Rent	Unit A rented from 7/1/2025 at \$2,150/month	\$12,900
Mortgage interest (1098)	Allocate 50% to rental unit, 2025 total \$19,860	\$19,860
Property tax	Supplemental and regular bills, total	\$4,410
Insurance	Landlord policy, full duplex	\$1,980
Repairs	Unit A water heater replaced 9/2025	\$1,640

Family lives in Unit B from May 31. Split shared costs 50/50 by square footage.

Other items

Item	Detail	Amount
Childcare	Little Sprouts Daycare, EIN XX-XXX8820	\$7,800
Charity	Cash to church, receipt on file	\$2,400
Estimated taxes	Paid 6/16 and 9/15/2025, \$2,000 each	\$4,000
CP2000 (TY 2023)	Proposed tax \$6,840 plus \$1,368 penalty; client says Etsy gross included sales tax and refunds	response due

Entering this case in the workbook

Sector	Mark as	Answers to select
Individual & Family	Yes	Life events: Bought a home, Started a business. Income: Wages, Side business, Rental. Filing status: Married filing jointly. Has dependents: Yes. Paid childcare: Yes. Itemizing: Not sure yet
Self-Employed	Yes	Sales channels: Online marketplace, In person, Wholesale. Expenses: Vehicle, Home office, Equipment. Sells products: Yes
Real Estate	Yes	Property types: Multi-unit. Sold property: No
IRS Representation	Yes	Issues: IRS notice, Penalties

Open items to request from the client

- Etsy monthly statements for 2023 to rebuild the CP2000 reconciliation
- Signed Form 2848 for 2023 and 2025
- Settlement statement from the duplex purchase
- Beginning and ending lumber inventory counts